

ShieldAI — Market Analysis

For pitch preparation and investor Q&A · Refreshed July 2026

How to use this: These are real, sourced figures to ground your pitch and answer investor questions confidently. Market-size estimates vary widely by research firm — ranges and named sources are shown so you can cite honestly.

When an investor pushes on a number, “estimates range from X to Y depending on how you scope it; here's the source I'm using” is a stronger answer than a single suspiciously-precise figure. Round in conversation; cite when pressed.

1. The Headline Numbers (memorize these)

Metric	Figure	Source
US small businesses	36.2 million (99.9% of all US businesses)	SBA Office of Advocacy, 2025
— of which have employees	~5.8M employer firms (30.4M are solo/nonemployer)	SBA Office of Advocacy, 2025
SMBs with no cybersecurity budget (<50 employees)	47%	StrongDM / CrowdStrike, 2025
SMBs with no security measures at all	51%	StrongDM, 2025
SMBs with a formal incident response plan	only 34%	Guardz, 2025
Global SMB cybersecurity spending (by 2026)	\$109 billion, growing ~10%/yr	Analysys Mason
vCISO market (2025)	~\$2.0–2.9B, growing 15%+ CAGR	Multiple (see §2)
Full-time CISO cost	\$200K–\$400K+/year	Industry standard
Avg. data breach cost, small business	~\$120K (some sources cite far higher)	Total Assure, 2025
Cyber positions unfilled globally	3.4 million	Industry (talent shortage)
ShieldAI pricing ladder	\$0 (Free) to \$1,950/mo (Managed vCISO)	ShieldAI production, July 2026

2. Market Sizing — TAM / SAM / SOM

vCISO market estimates vary by research firm — from roughly \$1.06B to \$2.89B for 2024–25, with forecasts ranging from \$1.5B to \$12B by the early 2030s — because firms scope the category differently (some include only software, others include the full advisory/consulting spend). Every credible source agrees on direction: double-digit annual growth, driven by escalating threats, a 3.4-million-person global cybersecurity talent shortage, and tightening compliance.

Bottom-up build:

- TAM: The global vCISO category, ~\$2B+ and growing 12–15%+ per year — the market ShieldAI directly serves.

- SAM: ~5.8M U.S. employer businesses, narrowed to regulated/insured/supply-chain segments (a conservative 10–20% → roughly 600K–1.2M businesses). At a blended program value in the low thousands per year, this is a multi-billion-dollar serviceable market.
- SOM: A modest, credible early capture — e.g., 1% of a 600K-business SAM at a few thousand dollars per year per client — represents a business on the order of \$20M+ in annual recurring revenue, reached over a 3–5 year horizon via the free-to-managed motion.

For reference, the 3-Year Financial Model projects ~1,610 total paying clients and ~\$10.1M in annualized ARR by the end of Year 3 — roughly 0.1–0.3% of the conservative SAM, well inside the SOM range above.

3. Why Now — Three Converging Pressures

- Cyber-insurance as gatekeeper: Insurers now require proof of specific controls (MFA, incident response, etc.) before issuing or renewing policies. 63% of SMBs saw premiums rise 200%+ in 2025, and businesses under \$25M in revenue filed 64% of all cyber-insurance claims — insurers are tightening precisely on ShieldAI's target segment.
- Customer-driven requirements: Larger customers increasingly push security questionnaires and insurance requirements down to their small vendors. Without a demonstrable program, small businesses lose contracts.
- Expanding regulation: HIPAA, CMMC (defense supply chain), the FTC Safeguards Rule, and state privacy laws now carry real penalties — reaching deep into the small-business tier.

On the supply side, AI has only recently become capable enough to deliver expert-level security analysis and documentation at a cost that makes serving the small-business segment economically viable (\$0.28/client/month in ShieldAI's production measurements). The need and the means have arrived at the same moment.

4. Competitive Landscape at a Glance

The five most-cited names in vCISO and GRC software — Cynomi, Vanta, Drata, Secureframe, and Scrut Automation — are well-funded and growing fast, but none sells a complete, human-reviewed CISO program directly to a small business at a small-business price. Full profiles and a head-to-head comparison appear in the companion Competitive Analysis; the numbers investors ask about most:

Company	Positioning	Scale / Pricing
Cynomi	AI-native vCISO platform, sold only through MSPs/MSPPs	\$37M Series B, April 2025; 3x ARR growth in 2024
Vanta	Compliance automation for VC-funded tech companies	\$10K–\$80K+/year, quote-based
Drata	Compliance automation for engineering-heavy startups	\$7.5K–\$100K+/year, quote-based
Secureframe	Guided compliance automation, first-time compliance teams	\$7.5K–\$80K+/year
Scrut Automation	Multi-framework GRC for 50–500 employee SaaS companies	\$15K–\$40K/year, bundled pricing

The pattern investors should take away: every well-funded name in the category sells either through a service-provider channel (Cynomi) or to venture-funded technology companies at 4–50x ShieldAI's price (Vanta, Drata, Secureframe,

Scrut Automation). None is built, priced, or staffed to win a direct small-business sale today — that gap is the market ShieldAI is built for.

5. Sources & Notes

- SBA Office of Advocacy, 2025 — U.S. small business counts.
- StrongDM / CrowdStrike, 2025; Guardz, 2025 — SMB security posture statistics.
- Analysys Mason — global SMB cybersecurity spending forecast.
- Market Research Future — U.S. cyber-insurance market sizing.
- Total Assure, 2025 — average small-business data breach cost.
- Insight Partners / GlobeNewswire, April 2025 — Cynomi Series B funding announcement.
- Vendor pricing pages and independent buyer-side comparison analyses, 2026 — Vanta, Drata, Secureframe, and Scrut Automation pricing (see companion Competitive Analysis for full citations).
- ShieldAI production data, July 2026 — pricing ladder, measured AI unit costs.

This document is a live reference for pitch prep and Q&A, not a static filing — refresh the sourced figures periodically, especially vCISO market-size estimates and named-competitor pricing, both of which move quickly.